

Number found. I found 1,150 patterns in 668 stocks from August 1991 to October 2019. However, that included bear market patterns, and there were not enough of those to include in the statistics. Not all of the stocks covered the entire period, and some no longer trade. Notice that the pattern favors upward breakouts, judging only by the numbers.

Table 10.2 General Statistics

Description	Up Breakout	Down Breakout
Number found	601	335
Reversal (R), continuation (C) occurrence	38% R, 62% C	58% R, 42% C
Reversal, continuation performance	45% R, 41% C	−14% R, −17% C
Average rise or decline	43%	−15%
Standard & Poor's 500 change	12%	−2%
Days to ultimate high or low	244	51
How many change trend?	54%	27%

Reversal (R), continuation (C) occurrence. Upward breakouts act as continuation patterns most often, but downward breakouts act as reversals. Recall that a reversal has price leaving the chart pattern in a direction opposite the way it entered. Continuation patterns have price exit in the same direction as the prevailing price trend.

Reversal/continuation performance. Upward breakouts show better performance from reversal patterns, but downward breakouts favor continuations.

Average rise or decline. Shown in the table is the average rise or decline. Nothing spectacular here.

Standard & Poor's 500 change. I compared the date of the breakout to the ultimate high or low posted by the chart pattern and compared those to the index. The index shows it didn't perform nearly as well as the broadening pattern over the same holding period.